

Before the
FEDERAL MARITIME COMMISSION

Docket No. 2010 (F)

Simple Forwarding, Inc.

v.

China United Lines Ltd. *aka* CULines and Norton Lilly International

COMPLAINANT’S RESPONSE TO RESPONDENT NORTON LILLY INTERNATIONAL’S
ANSWER TO AMENDED COMPLAINT OF SIMPLE FORWARDING

Complainant Simple Forwarding Inc. (“Complainant” or “Simple Forwarding”), by and through their Representative, submits this Response to the Respondent Norton Lilly International’s (“NLI” or “Norton Lilly”) Answer to their Amended Complaint.

BACKGROUND

Simple Forwarding a licensed NVOCC and OFF (Non-Vessel Operating Container Carrier and Ocean Freight Forwarder, respectively) under FMC license #027698, acting as an Ocean Transportation Intermediary, specifically an NVOCC (OTI), and Shipper facilitated the movement of container number TWCU8055871, which accrued 21 days of misapplied per diem Charges from the 14th of October through the 3rd of November 2021. After multiple attempts by Complainant to resolve this matter with both Respondents, on September 12, 2024 Complainant filed an Amended Complaint with the Federal Maritime Commission naming Norton Lilly and CULines alleging violations of “[failure]

to establish, observe, and enforce just and reasonable practices relating to receiving, handling, storing, and delivering the property of Claimant per 46 U.S.C. § 41102(c) and Section 545.4 of the Code of Federal Regulations, and the Interpretive Rule on Demurrage and Detention Under the Shipping Act,” (Amended Complaint- ¶ 3, Section D); and that “[Respondent’s] knowingly imposed unreasonable and misapplied per diem fees in violation of 46 U.S.C. § 41102(c) and Section 545.4 of the Code of Federal Regulations, and The Interpretive Rule on Demurrage and Detention Under the Shipping Act to Simple Forwarding,” (Amended Complaint- ¶ 3, Section E).

This Amended Complaint was served to both Respondents on October 8, 2024 and on January 10, 2025, Respondent Norton Lilly filed with the Commission an Answer to this Amended Complaint.

On November 14, 2024, the Presiding Officer issued an Order requesting additional documentation and information (ORDER REQUESTING ADDITIONAL INFORMATION AND ORDERING RESPONDENTS TO ANSWER, November 14, 2024). Complainant will submit documentation in response to that Order, rather than adding any to this filing, to ensure it is consolidated in a manner that is more organized, accessible, and easier to review.

ARGUMENTS

1. NORTON LILLY IS AN ACTIVE PARTICIPANT IN VIOLATIONS OF THE SHIPPING ACT AND ARE LIABLE FOR THEIR ACTIONS

Norton Lilly has claimed that because they were acting as Agents they are not responsible for their actions as it relates to this matter or these violations and should not be a Party to the Amended Complaint. We vigorously reject this claim.

The Commission has both personal and subject matter jurisdiction over NLI as an Agent acting on behalf of CULines. NLI is subject to the FMC's personal jurisdiction because the allegations against the Respondents arise from a common nucleus of operative facts, specifically related to their actions in issuing the invoice and enforcing charges of Unjust Charges on behalf of CULines.

NLI's claim that it should not be involved in this case due to its status as an Agent must be rejected. NLI's direct involvement in the transaction and their admitted issuance of invoices, as well as their role in enforcing the unjust charges on behalf of CULines, places them within the scope of the Commission's regulatory authority. Their agency status does not absolve them of responsibility for their actions in this matter, and NLI actively participated in the conduct that is central to the claims in the Complaint.

The Commission's jurisdiction over NLI is established not only by their agency relationship but also by their direct role in the enforcement of charges and their involvement in the relevant oceanborne transportation.

See *Tcw, Inc. v. Evergreen Shipping Agency (Am.) Corp. & Evergreen Line Joint Service Agreement*, Docket No. 1966(I), Doc. No. 1 (FMC Feb. 19, 2021). In *Tcw, Inc.*, the claimant, TCW, Inc., filed a complaint alleging violations of 46 U.S.C. § 41102(c) against Evergreen Line Joint Service Agreement ("Evergreen-Principal") and Evergreen Shipping Agency (America) Corporation ("Evergreen-Agent"), the latter acting as the agent of Evergreen-Principal. *Id.* at 1. Evergreen-Agent argued that the Commission lacked both personal and subject matter jurisdiction over it, asserting that it was merely a North American agent and not an FMC-regulated entity. *Id.* at 7. However, *Tcw, Inc.* firmly establishes that the Commission has the authority to resolve disputes concerning whether an agent of a vessel-operating common carrier violated the Shipping Act. *Id.* at 15, specifically regarding whether per diem charges imposed by Evergreen-Principal and Evergreen-Agent violated Demurrage and Detention Rules under Section 41102(c).

The ruling in *Tcw, Inc.* also makes clear that the Commission's personal jurisdiction can be extended to an Agent of a VOCC, stating:

"A court may assert pendent personal jurisdiction over a defendant with respect to a claim for which there is no independent basis of personal jurisdiction so long as it arises out of a common nucleus of operative facts with a claim in the same suit over which the court does have personal jurisdiction" (quoting *Action Embroidery Corp. v. Atl. Embroidery, Inc.*, 368 F.3d 1174, 1180 (9th Cir. 2004)); *ONE*, supra at 3 (rejecting the argument that the Commission lacks personal and subject matter jurisdiction over an Agent of a Common Carrier).

As such, Norton Lilly is an appropriate Party to this case, as it serves as the U.S. agent through which CULines conducts its business in the United States and was a willing and admitted active participant in the violations that occurred.

Additionally, Norton Lilly's assertion that they are a "total stranger" to Simple Forwarding is contradicted by their own actions. Over the course of months, NLI engaged in extensive correspondence with Simple Forwarding regarding the disputed charges, during which Simple Forwarding actively contested the charges. At no point during these interactions did NLI assert that Simple Forwarding was not entitled to dispute the charges or that they were a "stranger" to the matter, or to them. NLI's failure to make such a claim during their direct engagement with Simple Forwarding undermines their current position and highlights their active involvement in the dispute.

2. RESPONDENT'S DIRECT PURCHASER ARGUMENT IS NOT APPLICABLE AND FAILS

The Direct Purchaser rule aligns with the antitrust Direct Purchaser rule established in *Illinois Brick v. Illinois*, 431 U.S. 720, 726 (1977). Respondent argues that the Direct Purchaser rule precludes the Complainant from bringing a claim for Reparations because Simple Forwarding did not directly pay the disputed Charges. However, the case law Respondent cites is distinguishable and not applicable to this case or situation.

Typically, the Direct Purchaser rule is invoked in cases where a Complainant or Plaintiff,

representing numerous customers or consumers, is too far removed from the Respondent or Defendant within the distribution chain to be classified as a Direct Purchaser.

Courts and the Commission in applying the Direct Purchaser rule often cite three key reasons for excluding claims by indirect purchasers:

- (1) the potential for duplicate recovery by both direct and indirect purchasers
- (2) the evidentiary complexities and uncertainties related to pass-through charges
- (3) the need for effective enforcement of federal maritime law by concentrating the full recovery in those with the closest relationship with the wrongdoers.

As an example, in *Illinois Brick* the State of Illinois, representing multiple customers, filed an antitrust lawsuit against a brick manufacturer/distributor accused of illegal price-fixing. *Illinois Brick*, 431 U.S. at 727, 735. The Court ruled that the State of Illinois was an indirect purchaser, explaining that this rule is essential to avoid the complicated process of accurately allocating damages among the various parties involved in the distribution chain. *Id.* At 730-37. This case is not applicable to this Complaint, as the Complainant is an OTI, and any Charges for this shipment were the direct fiduciary responsibility of the Complainant and the entire shipment process was managed by Complainant. Complainant was not merely purchasing a product as in *Illinois Brick*, Complainant was acting as an OTI with a statutory, fiduciary, and operational responsibility from booking to delivery. As such, any Party engaged from booking to delivery was doing so on behalf of the Complainant, is whole, and there is no other Party involved who can make a valid Claim for Reparations, rendering the potential issue of duplicative recovery, moot.

In Re: Vehicle Carrier Services, 2019, the plaintiffs were two groups:

- 1) a group of consumers and vehicle dealers

and

2) a group of shippers and ocean transportation intermediaries

Respondents argue that *In Re: Vehicle Carrier Services* holds that standing requires a complainant to have directly paid the carrier, claiming it "squarely establishes" that a complainant cannot pursue reparations without direct payment. However, their reliance on this case misrepresents its findings. While *Vehicle Carrier Services* acknowledged direct payment as one factor in determining standing, it also explicitly recognizes exceptions under which OTIs, acting as agents or through assignments, may qualify as direct purchasers. For instance, the case cites *Chiarella v. Paeon Express Inc.*¹, where the Commission granted standing to a freight forwarder acting within the scope of its agency, even without direct payment. By focusing narrowly on direct payment, Respondents ignore the broader context of the decision, which affirms that OTIs may still qualify as direct purchasers under specific circumstances. Their selective interpretation oversimplifies and misrepresents the nuanced analysis applied by the Commission.

These groups filed class actions against the respondents, who were providers of vehicle carrier services, alleging a conspiracy to fix rates and manipulate market share for transporting vehicles aboard vessels. *In Re: Vehicle Carrier Services*, 2019 WL 5558120, at *1. The consumers and dealers claimed that they paid inflated rates indirectly because these higher rates affected their cost of buying or leasing a vehicle. *See id.* The Commission determined that the plaintiffs in Group 1 were indirect Purchasers without standing to seek reparations due to their distance from the distribution chain, disqualifying them as Direct Purchasers. *See id.* At *7, 13–14. The Commission stated that allowing both groups to

1 "The Commission has long recognized that an ocean freight forwarder is an agent of its shipper customer and has a fiduciary duty to that shipper customer." SA. *Chiarella v. Paeon Express Inc.*, 29 S.R.R. 335,337 (FMC 2001) (discussing substantially similar language in the Shipping Act, 1916). In *Chiarella*, the Commission found that a freight forwarder had standing to seek reparations, because he was "acting within the scope of his duties as an agent of his shipper customer in bringing this claim." *Chiarella*, 29 S.R.R. at 337-338.' (*In Re: Vehicle Carrier Services, INITIAL DECISION GRANTING IN PART AND DENYING IN PART RESPONDENTS' MOTION TO DISMISS AND SUPPLEMENTAL MOTION TO DISMISS*, 2018 *38 ¶7 *39 ¶1) While Complainant acted as an NVOCC, this emphasizes the roles and responsibilities of OTIs and how it relates to standing.

sue the Respondents for reparations could lead to duplicate recovery, and that determining reparations could be a complex and costly process for all parties involved. The Commission also noted that analyzing thousands of transactional documents to understand how much of the overcharge was passed along to each group of complainants could be challenging. This potential evidentiary complexity favored disallowing a claim by the customer and dealer group of plaintiffs. However, in this case, there is no risk of duplicate recovery and there is no need for apportionment or complex evidentiary analysis to determine the allocation of the charges. No evidentiary complexities arise, as the records pertaining to the disputed Charges in this case are minimal. There is also no need for a complex analysis to determine the amount or percentage of the Charges since they consist of only a single charge of \$6825.00 that does not need to be apportioned.

Similarly, in *Guam v. Pacific Far East Line, Inc.*, the complainant attempted "to sue for reparation on behalf of others." *Guam v. Pacific Far East Line, Inc.*, 7 S.R.R. 167, 168 (ALJ 1966). This attempt was rejected due to the Commission's lack of statutory authority to hear such a claim. *Id.* Guam subsequently filed another lawsuit in 1989, this time seeking to sue on behalf of others as *parens patriae*. *Gov't of Guam v. Sea-Land*, 25 S.R.R. 842 (ALJ 1990). Guam's claim was once again dismissed "[i]nsofar as the Complaint [sought] reparation ... for shipments made by other shippers." *Id.* At 842. However, this example too is easily distinguished from the present case. Complainant does not represent multiple customers or consumers, and Complainant is not suing on behalf of others.

Additionally and very importantly, the need for effective enforcement of federal maritime law will be served by making whole those that sustained harm; Simple Forwarding. See *Intermodal Motor Carriers Conference, American Trucking Ass'n, Inc. v. Ocema*, Docket No. 20-14, Doc. 150 at p. 70 (FMC Feb. 23, 2024) (discussing that the Party sustaining the harm is the Injured Party).

Simple Forwarding Inc., facilitated the shipment of a 40' container of goods from Shanghai to Los Angeles that was Shipped on Board on or around September 09, 2021. Complainant enlisted the services of an Agent in China to assist in booking the shipment of that 40-foot container from Shanghai to Los Angeles. This approach is standard in ocean freight logistics, particularly for single containers, less-than-container-load (LCL), smaller shipments, or when capacity and availability are affected due to world events or other issues. Agents based in the origin country are often better positioned to handle bookings and documentation because they benefit from preferential rates offered by carriers and can more efficiently manage the process with and on behalf of the managing OTI due to their local presence and close proximity to the regional offices of ocean freight carriers. Please see below:

 UNIFELIX INTERNATIONAL LIMITED <u>STATEMENT OF UNIFELIX</u> We, Shenzhen Unifelix International Logistics CO.,LTD, because of business strategy adjustment,our company name change to <u>Unifelix International Limited</u> from June 16,2021, FMC organization no.:032633. We were Simple Forwarding' s agent in China for this container no. <u>TWCU8055871</u> and that Simple Forwarding is and was always the managing OTI for this shipment. We were Simple Forwarding' s agent in China and we sub-contracted with WTSL (World Trade Shipping Limited),that it was a Standard and highly used agent arrangement in ocean freight,and we were always acting under their (Simple Forwarding) instruction and on their behalf because they were the managing OTI.And that Simple Forwarding paid ocean freight charges for this container. Dated: January 08,2025 By: _____ William Sun Position:CEO UNIFELIX INTERNATIONAL LIMITED 

The Direct Purchaser Rule is not meant to be applied in order to deny OTIs, who bear the fiduciary and practical responsibility for shipments; their rights under the Shipping Act and other applicable statutes. Respondent asserts a narrow interpretation of the Rule that means to deny Complainant of their rights, while ignoring how the actual supply chain, specifically ocean freight shipping, actually works.

Step	Responsibility	Involved Parties	Financial Responsibility/Billed Party
1. OTI Contracts/Engages Services	Engages with vessel operating container carrier or an agent (another OTI) in the originating country in order to book a container or containers, or co-load.	OTI, VOCC/Vessel Operator/Agent	OTI
Documentation & Payment	Documentation assembled, managed, produced; payment made to carrier or agent for container(s).	Documents: OTI, Shipper, Carrier, Agents Payments: OTI	OTI
Shipment Execution	Manages and oversees the shipment process.	OTI	OTI
Engagement of Trucking Services (when BCO/Shipper engages OTI to manage it for them)	Engages trucking broker or trucking carrier directly.	OTI, Trucking Broker (if applicable) and/or Trucking Carrier	OTI
Fiduciary Responsibility	As the engaging party, maintains ultimate fiduciary responsibility for all processes and resultant charges as the billed party	OTI	OTI

As a function of their roles and as a rule, OTIs are the Billed Party for:

- Freight costs
- Documentation fees
- Container-related surcharges

If facilitating Trucking:

- Freight Costs
- Accessorial charges

And often:

- Customs Clearance Fees
- Terminal Handling Charges
- Storage and Warehousing Fees
- Compliance and Regulatory Fees

From 46 CFR §515.2:

(k) Non-vessel-operating common carrier services refers to the provision of transportation by water of cargo between the United States and a foreign country for compensation without operating the vessels by which the transportation is provided, and may include, but are not limited to, the following:

(1) Purchasing transportation services from a common carrier and offering such services for resale to other persons;

(2) Payment of port-to-port or multimodal transportation charges;

(3) Entering into affreightment agreements with underlying shippers;

(4) Issuing bills of lading or other shipping documents;

(5) Assisting with clearing shipments in accordance with U.S. government regulations;

(6) Arranging for inland transportation and paying for inland freight charges on through transportation movements;

(7) Paying lawful compensation to ocean freight forwarders;

(8) Coordinating the movement of shipments between origin or destination and vessel;

(9) Leasing containers;

(10) Entering into arrangements with origin or destination agents;

(11) *Collecting freight monies from shippers and paying common carriers as a shipper on NVOCC's own behalf.*

OTIs, unlike the secondary or tertiary purchasers envisioned in antitrust contexts, are licensed Parties that bear direct financial and legal responsibility for Transportation-Related Charges and activities. This distinction makes the Respondent's rigid application of the rule contextually inappropriate. While the *Illinois Brick* origins in antitrust law served to streamline claims in class action contexts, Respondents attempt to apply any interpretation in this case of the Direct Purchaser rule is contextually disingenuous and ignores the ocean freight shipping process. Specifically, that OTIs are licensed entities tasked with ensuring the operational, financial, and logistical stability of international shipping operations. As such, applying a legal framework designed for entirely different scenarios undermines both the intent of the rule and the critical role of OTIs.

Respondent's interpretation would effectively bar OTIs from seeking reimbursement for financial harm they incur, despite being the financial guarantors of transactions within the Ocean Freight Shipping process.

OTIs are required by the Federal Maritime Commission to carry surety bonds as a condition of their licensure, which serve as guarantees for their financial and operational obligations and ensure payment for claims; such as unpaid freight charges or statutory violations. *46 C.F.R. §515.23* of the Shipping Act underscores that shippers, common carriers, and other affected persons may seek payment from these bonds for damages arising from an OTI's Transportation-Related activities, as defined in the Shipping Act. The surety bonds required of OTIs are an acknowledgment of their financial responsibility as well as their statutory responsibilities under the Shipping Act, and serve as safeguards for claims arising from their operations; and *46 C.F.R. §515.23(b)* outlines specific mechanisms for claims against an OTI's bond, further emphasizing their role as financial guarantors

and responsible Parties. If an OTI were to, for example, fail to pay a third-party provider they engaged to assist in the facilitation of a shipment, and this failure impacted the shipment in any way, their customer would have valid grounds to file a claim against the OTI's bond. Therefore, it is crucial for the OTI to ensure timely and full payment of shipment and freight-related charges to protect both their customers and their own business interests.

This responsibility is critical to the stability and efficiency of international trade. Rigidly applying the Direct Purchaser Rule in the context Respondent proposes undermines the very purpose of licensing framework and an OTI's function. In practice, OTIs frequently absorb costs associated with non-performance or overcharges by Carriers due to their position as the managing and Billed Party and their operational duties, yet are precluded from recovering these losses according to Respondent's interpretation of the Direct Purchaser Rule. This approach ignores the fact that OTIs, by virtue of their licensed responsibilities, incur and absorb these costs directly; not just as a function of their jobs, but to protect the integrity of the supply chain and the flow of goods. It is the OTI who is *actually* responsible for the charges, and it is the OTI that ultimately bears the loss. Denying OTIs the ability to seek recovery shifts the financial burden to them while effectively granting Carriers a windfall by insulating them from liability.

There is a significant need for an interpretation that accounts for the realities of this industry. Otherwise, we send a chilling message to OTIs: bear the financial, statutory, and legal responsibility for these shipments, and be left with no recourse when you are the violated Party.

In light of these realities, it is evident that the Respondent's rigid application of the Direct Purchaser Rule to OTIs is contextually flawed.

Furthermore, the long-standing and extortionate practice of billing truckers at the port who had no contractual relationship with the VOCCs (Vessel Operating Common Carriers) and no contractual relationship with the goods or container(s) as it relates to the actual shipment, was a coercive means of

ensuring that VOCCs and MTOs (Marine Terminal Operators) were paid immediately for charges they levied, regardless of who was *actually* responsible for payment of the charges, *or* the validity of the charges (something that the Commission recognizes and addresses with the robust February 23rd 2024 *Final Rule on Detention and Demurrage Billing Practices*). Truckers were for far too long burdened with charges that were not theirs to bear in a deliberate and self-serving abuse of the chain of responsibility by the Carriers. If these invoices were ignored, their livelihoods were threatened by Carrier threats to “shut them out” of ports and terminals, and additionally they were barred from returning the container, ensuring they could not run their businesses and earn a living and that they be burdened with a container of goods that did not belong to them. By repeatedly claiming that Complainant isn’t entitled to reparations for an injury they incurred due to Respondents violations of the Shipping Act, Respondent also repeatedly admits that they imposed Invoices and Charges onto a party that had no ownership of the goods or container and no fiduciary responsibility to the container or Respondent.

Nevertheless, as any trucking partner was for all intents and purposes, Complainant when acting on their behalf; Complainant was directly harmed the moment *any* bill for any erroneous charge was presented to *any* Party any where. TQL, the Trucking Broker engaged by Simple Forwarding, records confirm below that Simple Forwarding bore the Detention costs for this container.

(TQL records indicating a “0” balance for Simple Forwarding’s account and invoice for this container due to Simple Forwarding paying the charges).

Origin	Type	Document Number	Customer ID	Document Amount
Doc. Date	Due Date	Check Number	Discount Amount	Amount Remaining
OPEN	SLS	18434839R	10903394	\$6,825.00
2/10/2022	2/10/2022		\$0.00	\$0.00

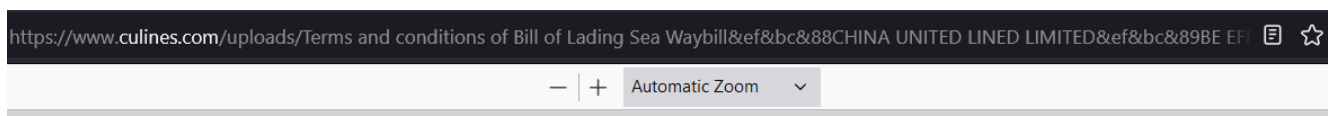
It can not be reasonably argued that Simple Forwarding is too far down the chain to make a claim for reparations because Simple Forwarding *is* the chain.

3. RESPONDENTS ACTIONS AND TERMS ACKNOWLEDGE COMPLAINANT’S POSITION

Of note is the fact that at no time did NLI or Co-Respondent CULines inform Simple Forwarding that they were not the Party responsible for the Charges or act in that matter accordingly. In fact, it was the direct opposite, with a months-long back and forth between the 3 Parties (Simple Forwarding, Norton Lilly, and CULines via Norton Lilly) that included the Trucking Carrier (the now defunct *New Opportunities Trucking*) regarding the Charges in dispute in regards to a refund; an explicit acknowledgment that both Respondents consider Complainant to be the Purchaser and Responsible Party. This also challenges Respondent’s assertion that the Complainant is a “stranger” to NLI.

By Co-Respondent CULines own current definitions and Bill of Lading Terms, Complainant is a “Merchant” and has standing to pursue Reparations:

‘ **“Merchant” includes any person who at any time has been or becomes the shipper, consignor, consignee, receiver of the Goods, the Holder of this Bill of lading, any person or entity owning or entitled to the possession of the goods *or* this Bill of Lading and anyone acting on behalf of any such person or entity.”**’ (emphases are ours)



TERMS AND CONDITIONS

1. DEFINITIONS

The following words both on the face and back hereof have the meanings hereby assigned:

“Carrier” means CHINA UNITED LINES LIMITED.

“Merchant” includes any person who at any time has been or becomes the shipper, consignor, consignee, receiver of the Goods, the Holder of this Bill of lading, any person or entity owning or entitled to the possession of the goods or this Bill of Lading and anyone acting on behalf of any such person or entity.

Simple Forwarding, while not on the Carrier Master Bill of Lading² (another common occurrence when an Agent books on the Managing OTIs behalf) was assigned a Bill of Lading. This House Bill of Lading, while not issued by the vessel-operating carrier, transferred ownership of the container and goods to Simple Forwarding so they could efficiently and without question manage the shipment (although Simple Forwarding always had effective ownership per their Role as an OTI and CULines terms).

² Often in co-loading and Agent arrangements there are two “Master” bills of lading; the Carrier MBL and the Agent’s MBL issued to the Managing OTI.

By engaging directly with Simple Forwarding over several months regarding the refund of detention charges, Respondents implicitly recognized Complainant's position as the managing OTI and “Merchant” under the terms of their Bill of Lading. This acknowledgment is not merely procedural but carries substantive implications; as the recognized Merchant and managing OTI, Simple Forwarding is directly affected by Respondents imposition of detention charges that violate the *"Incentive Principle"* outlined in *The Interpretive Rule on Demurrage and Detention Under the Shipping Act*. The harm caused by Respondents’ actions, including financial loss, is uniquely borne by Simple Forwarding due to its central role in managing the shipment.

The acknowledgment of Simple Forwarding’s role by Respondents, as demonstrated through their communications and the Co-Respondent’s Bill of Lading terms, is pivotal to this case. Not only does it refute Respondents’ claim that Complainant is a “stranger,” but it also underscores the direct financial harm caused by Respondents’ unreasonable detention charges. These charges were the direct responsibility of Simple Forwarding in its recognized capacity as the Merchant and managing OTI. The cumulative evidence provided by Complainant, terminal screenshots, correspondence, and regulatory citations, clearly establishes both the harm suffered and the violations committed.

4. RESPONDENT NLI VIOLATED THE SHIPPING ACT

Respondents repeated interactions with Simple Forwarding, as outlined in Argument 1 and 3, demonstrate a clear acknowledgment of Complainant’s role and responsibilities. This acknowledgment recognizes Simple Forwarding as responsible for any Charges, despite the container being undeliverable due to restrictions imposed by CULines.

The financial harm suffered by Simple Forwarding, is therefore a direct consequence of Respondents’ actions and policies. As the acknowledged Merchant under the Bill of Lading and the OTI, Simple Forwarding is entitled to reparations for the Unreasonable Charges that violated the Shipping Act’s explicit prohibitions against practices that fail to establish, observe, and enforce just and

reasonable practices relating to receiving, handling, storing, and delivering property per 46 U.S.C. §41102(c).

In addition to the imposition of unjust charges, and the violations that occurred with each day these charges were imposed and then accrued, Respondent's refusal to refund these charges constitutes a further violation of the Shipping Act. Practices related to the receiving, handling, storing, and delivering of property must be just and reasonable. By imposing and enforcing detention charges despite the clear inability to return the container due to restrictions that CULines enforced, and then refusing to refund those charges, Respondent has engaged in a repeated pattern of unreasonable practices that fail to serve the intended purpose of incentivizing timely container returns. And this ongoing and continuous conduct demonstrates a disregard for their requirements to maintain reasonable and justifiable practices.

Simple Forwarding submitted **71 Pages** of terminal screenshots with their Amended Complaint (as well as with the Original Verified Complaint) to the Commission as evidence for the time period of October 14th-31st of 2021, illustrating that CULines imposed restrictions at the port meant that the container in question could not be returned.

As for the time period of November 1st through the 3rd, Complainant was informed verbally by the Trucking Carrier at the time that the container could not and was not returned due to Carrier restrictions, and Respondent has never argued otherwise. In fact, Respondent has never argued the facts of the case ever, which are that:

Respondent imposed restrictions at the terminal/port that disallowed the return of the container in question, and imposed and enforced unjust detention fees which served no incentivizing purpose that they refuse to refund.

These charges, which included unjust detention fees, have not been refunded or adjusted despite the Respondent's failure to provide a valid reason for their imposition. As a result, Simple Forwarding has suffered a direct financial loss that other parties have not experienced, underscoring the harm caused by the Respondent's actions. This financial detriment is a clear consequence of the Respondent's conduct.

The Federal Maritime Commission's guidelines and regulations, particularly the *"Incentive Principle"* of *The Interpretive Rule on Demurrage and Detention Under the Shipping Act*³, emphasize the need for demurrage and detention charges to be reasonable and tailored to incentivize cargo movement. Charges should not apply when demurrage and detention fail to fulfill their intended purpose to promote freight fluidity.

"...because the purpose of demurrage and detention are to incentivize cargo movement, it will consider in the reasonableness analysis under section 41102(c) the extent to which demurrage and detention are serving their intended purposes as financial incentives to promote freight fluidity." (*The Interpretive Rule on Demurrage and Detention Under the Shipping Act* *E ¶1)

The Commission has explicitly stated in *The Interpretive Rule on Demurrage and Detention Under the Shipping Act* that charges should not be levied when circumstances beyond a party's control, such as policy constraints, dual transaction requirements, the inability to return empty containers due to lack of appointments or restrictions, and equipment restrictions, obstruct timely container movement. The Commission also emphasizes that demurrage and detention practices must be tailored to meet their intended purpose and should not be applied when they are ineffective in promoting cargo movement. The Interpretive Rule specifically calls out this exact scenario, where a Carrier did not allow Empty Container Returns and the resulting charges serve no incentivizing purpose:

3 <https://www.federalregister.gov/documents/2020/05/18/2020-09370/interpretive-rule-on-demurrage-and-detention-under-the-shipping-act>

*“The second application of the incentive principle discussed in the rule is empty container return. The rule states that absent extenuating circumstances, practices and regulations that provide for imposition of detention when it does not serve its incentivizing purposes, such as when empty containers cannot be returned, are likely to be found unreasonable. The Commission explained that such practices, absent extenuating circumstances, weigh heavily in favor of a finding of unreasonableness, because if an ocean carrier directs a trucker to return a container to a particular terminal, and that terminal refuses to accept the container, no amount of detention can incentivize its return.” (The Interpretive Rule on Demurrage and Detention Under the Shipping Act *G ¶1). See also 46 CFR §545.5(c)(2)(ii):*

“Empty container return. Absent extenuating circumstances, practices and regulations that provide for imposition of detention when it does not serve its incentivizing purposes, such as when empty containers cannot be returned, are likely to be found unreasonable.”

And in actuality, it is the Respondent who has failed to meet *their* burden under 46 CFR §502.312, which explicitly requires that:

*“The respondent shall file with the Commission an answer within twenty-five (25) days of service of the complaint and shall serve a copy of said answer upon complainant. **The answer shall admit or deny each matter set forth in the complaint. Matters not specifically denied will be deemed admitted.** Where matters are urged in defense, the answer shall be accompanied by appropriate affidavits, other documents, and memoranda. [Rule 312.]” (Bold and Italic, our emphases).*

Respondent has been in possession of Complainant’s terminal screenshot evidence since at least January 31 of 2023, and has never offered any supporting argument for the actual validity of the charges, nor offered any reason why the Charges in question were not in violation of the Shipping Act or any statutes, as alleged.

(Email of January 31, 2023 from Complainant to *CULines and Norton Lilly International*

disputing the charges and providing the terminal screenshots, with Trucking Carrier *New Opportunities Trucking in Copy*).

Friedy Hershler <friedy@simpleforwarding.com>
To: CUL-perdiem <CUL-perdiem@nortonlilly.com>
Cc: Laura Chica <laura.chica@newopportunities trucking.com>

Tue, Jan 31, 2023 at 11:42 AM

Hello Jude,

Thank you for your prompt response, I really hope you can help me.

We received an invoice for Per diem from our trucker for Container TWCU8055871. Please see attached invoice.

I would like to dispute this invoice as the empty container was not returned to port on time as there were no availabilities, please see below;

CU Lines 40 ST 2021-10-14
CU Lines 40 ST 2021-10-15
CU Lines 40 ST 2021-10-16
CU Lines 40 ST 2021-10-17
CU Lines 40 ST 2021-10-18
CU Lines 40 ST 2021-10-19
CU Lines 40 ST 2021-10-20
CU Lines 40 ST 2021-10-21
CU Lines 40 ST 2021-10-22
CU Lines 40 ST 2021-10-23
CU Lines 40 ST 2021-10-24
CU Lines 40 ST 2021-10-25
CU Lines 40 ST 2021-10-26
CU Lines 40 ST 2021-10-27
CU Lines 40 ST 2021-10-28
CU Lines 40 ST 2021-10-29
CU Lines 40 ST 2021-10-30
CU Lines 40 ST 2021-10-31

Awaiting your reply,
Friedy
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PROCEDURAL CONCERNS

We note that Respondent's filing references moot filings and presents them out of context, including those related to a frivolous, not-granted motion to dismiss, as well as material which we have previously requested to be stricken; an issue on which no ruling has been made. While we believe this raises significant concerns regarding the fairness and procedural integrity of the proceedings, we will reserve any further argument on this issue for appropriate future proceedings.

CONCLUSION

Respondents' Response deflects attention from the core issues at hand. By distorting the purpose of the Direct Purchaser Rule, they seek to avoid addressing their violations of the Shipping Act and evade accountability through technicalities. Their rigid, contextually flawed application of the Direct Purchaser Rule not only demonstrates a deliberate attempt to escape responsibility for their actions.

As Agents acting on behalf of the Carrier, Respondents had a clear duty to act in accordance with the law, but instead of addressing the factual issues presented in the dispute, they continue to deflect responsibility. The essence of this case is Respondent's persistent efforts to avoid accountability for unlawfully retaining \$6,825, despite clear violations of the Shipping Act and evidence that these Charges are unjust. Rather than engaging with the facts and returning the funds they wrongfully took, they have resorted to evasive responses and procedural stalling tactics, failing to directly address the substantive issues raised by Complainant.

Complainant respectfully requests that the Commission recognize the undeniable financial harm caused by Respondent's actions, grant reparations in the amount of \$6,825.00, and issue any additional relief deemed just and proper under the circumstances.

I, Sara Dandan, have been admitted to general practice before the Federal Maritime Commission. I respectfully submit this motion on behalf of Complainant Simple Forwarding Inc.

Sara Dandan

FourOneOne LLC

2501 Chatham Rd, Suite 8082

Springfield, IL 62704

Email: sara@fouroneone.io

Phone: 630-286-9846

Signature:  _____

Date: 01/11/2025

CERTIFICATE OF SERVICE

I certify that on January 11, 2025, a true and current copy of the foregoing was filed via electronic mail with the Federal Maritime Commission and the following known parties of record for the Respondents:

Mike Ausmus

Senior Manager Liner Services, Norton Lilly International

Email: mausmus@nortonlilly.com

Phone: 251-219-3310

China United Lines Ltd aka CULines Legal Team

Email: legal@culines.com

James Wu (Wu Jianhua)

Deputy General Manager, China United Lines Ltd aka CULines

Email: jameswu@culines.com

Phone: +86-139-1896-5061

Ashley Xu

Legal Specialist, China United Lines Ltd aka CULines

Email: ashleyxu@culines.com

Sara Dandan